

10. Federal Structure

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10.1 Federal System

- A federal system means power is divided between the Central Government and the State/Local Governments.
- The Central Government handles the main affairs of the whole country. The State/Local Governments manage daily activities in their own regions.
- In India, our Constitution says we follow a federal system. This means we have two levels of government:

1. The Union Government (Central)

2. The State Governments

- India is a 'Union of States.' Powers are shared between the Centre and the States in three areas: law-making, administration, and finance. The judiciary works in a common structure for all.

Central-State Relations (3 parts)

1. Legislative Relations (Articles 245–255) → Law-making powers

2. Administrative Relations (Articles 256–263) → Administrative powers

3. Financial Relations (Articles 268–293) → Financial powers

10.2 Features of Federal Government

- A federal government has two or more levels of government. Power is not concentrated in just one government.

- Each level of government has its own powers to make laws and implement them. Their areas of control are clearly defined.
- The Constitution guarantees the federal system. It clearly mentions the powers and duties of both Central and State governments.
- No single government can change the Constitution alone. Any important changes must be approved by all levels of government.
- Even though both levels have separate powers, conflicts can still occur. In such cases, the Courts resolve disputes.
- Both levels of government must have their own sources of revenue. If one depends completely on the other for money, it is not truly independent.
- **Central Govt revenue** → Income tax (except agricultural income), Customs duty, Excise duty, GST.
- **State Govt revenue** → Land revenue, Agricultural tax, Stamp duty, Electricity duty.

10.3 Legislative Relations – Articles 245 to 255

Articles 245 to 255 in Part 11 of the Constitution explain the legislative relations between the Centre and the States. This cover:

- Parliament and State Legislatures' law-making areas.
- Distribution of law-making subjects.
- Parliament's power to make laws even on State List matters in some cases.
- Centre's control over State laws.

Seventh Schedule

The Seventh Schedule of the Constitution divides subjects between Centre and States:

1. Union List (Central Government Powers)

The **Central Government** has the power to make laws on subjects of **national importance**.

Examples:

- Defence, Army, Navy, Air Force
- Foreign Affairs
- Atomic Energy, Space Research
- Currency, Banking, RBI
- Railways, Airways, Waterways, Highways

- Communication: Post, Telegraph, Telephone, Internet
- Citizenship, Immigration, Extradition

2. State List (State Government Powers)

The **State Governments** can make laws on subjects of **local or regional importance**.
Examples:

- Police, Public Order, Agriculture
- Local Government (Municipalities, Panchayats)
- Public Health, Hospitals, Sanitation
- Land, Rights in Land, Land Revenue
- Markets, Fairs, Entertainment, Gambling

3. Concurrent List (Shared Powers of Central & State)

Both **Central and State Governments** can make laws on these subjects.
But if there is a **conflict**, the **Central law prevails**.
Examples:

- Education
- Marriage & Divorce, Adoption, Succession
- Forests, Wildlife Protection
- Electricity
- Criminal Law & Procedure

Subjects in the Lists:

- Union List: 100 subjects (e.g., foreign affairs, defence, railways, postal services, banking, atomic energy, communication, currency).
- State List: 61 subjects (e.g., police, public order, roads, health, agriculture, local government, water supply, sanitation).
- Concurrent List: 52 subjects (e.g., education, forests, protection of wildlife, electricity, labour welfare, criminal law, civil procedure, family planning, population control, drugs).

Important Articles:

- Article 245: Central can give directions to States in certain cases.
- Article 246: Parliament has the power to make laws on Union List, State List, and Concurrent List subjects.
- Article 247: Parliament can set up extra courts for Union List matters.
- Article 248: Parliament has exclusive power to make laws on subjects not in any of the three lists.

- Article 249: Parliament can make laws on State List matters if it is of national interest.
- Article 250: During a national emergency, Parliament can make laws on State List matters.
- Article 252: Parliament can make laws for two or more States if those States agree.

10.4 Administrative Relations

- Article 256 says that the executive power of a State must be used to follow laws made by Parliament and laws already in force in that State.
- The Union Government can give directions to a State, and the State has to follow them.

10.5 Cooperation Between the Centre and the States

- The Constitution provides rules for cooperation between the Central and the States.
- Article 261 says that public acts, records, and judicial proceedings of the Union and every State must be respected everywhere in India.
- Article 262 says Parliament can make laws to solve disputes about the use, distribution, or control of river water between States.
- Article 263 gives the President power to set up an Inter-State Council to discuss and resolve disputes between States.
- Article 307 says Parliament may create authorities to ensure free trade and commerce between States.

10.6 Centre-State Relations During Emergency

- During a National Emergency (Article 352), the State Government becomes subordinate to the Union Government. The Union controls all executive powers of the State.
- During a State Emergency (Article 356), the President can take over State functions if the State Government cannot work as per the Constitution.
- During a Financial Emergency (Article 360), the Union Government can give directions to States about financial matters. The President can reduce salaries and allowances of government employees, including judges.